

BAAY PROJECTS LIMITED

(RC 1526224 • TIN 21548976-0001 • Aliases: Baay Gokes / Baay Degok)

FINANCIAL STATEMENTS RECONSTRUCTION, REVENUE & COMPLETION REPORT

Comprehensive Analysis of Sales & Customer Records, Banking Inflow Reconciliations, IFRS 15 Revenue Models, Statutory Tax Roll-Forward and Path to Final External Audit Sign-Off

TECHNICAL RECONSTRUCTION DELIVERABLE — AUDIT COMMITTEE & MANAGEMENT BOARD REVIEW

Target Entity:	BAAY PROJECTS LIMITED (RC 1526224)	Engagement Date:	October 2026
Engagement Scope:	IFRS Reconstruction & Tax Audit Prep (2023-2025)	Reporting Currency:	Nigerian Naira (NGN / N)
Registered Office:	No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State	Company Secretary:	Adegoke Mary Ayoboade
Active Directors:	Adegoke Segun Babatunde; Adegoke Raheem Adebayo; Ajibola Oluwatobi Adedamola; Shuaib Suliat Aduke; Keshinro Phebe Oluwatunmise; Owolabi Charles Oluwatobi; Olayinka Oladotun Emmanuel; Noah Abdulazeez Afolabi	External Auditors:	Sanni Waheed & Co. — FRC/2016/ICAN/2016/00000013886
Governing Standards:	Full IFRS Standards, CAMA 2020, CITA, TETFA	Tax Jurisdictions:	Federal Inland Revenue Service (FIRS) / LIRS
Primary Input Source:	BAAY_Sales_and_Customers_2022_2025_for_Audit.xlsx	Master File Reference:	BAAY_PROJECTS_LIMITED_Master_Workbook_2023_2025_updated.xlsx

1. EXECUTIVE SUMMARY & ENGAGEMENT OVERVIEW

This Information-Gap, Scope Limitation, and Completion Report accompanies the updated 3-year Master Financial Model (36 sheets), the three standalone Annual Statutory Draft Financial Statements (FY 2023, FY 2024, FY 2025 with prior year comparatives), and the comprehensive Landscape General Ledgers & Working Papers Pack for **BAAY PROJECTS LIMITED** (RC 1526224).

Following receipt of the company accountant's comprehensive sales and customer analysis (**BAAY_Sales_and_Customers_2022_2025_for_Audit.xlsx**), the accounting model was updated to incorporate 859 customer sales-receipt lines, 214 client subscriptions, 236 distinct customer profiles, the complete exclusions and matching-exception populations, and project-by-project cash collection schedules. Cash receipts have been kept distinct from IFRS 15 revenue recognition.

Table 1.1: Multi-Year Financial Performance & Position Summary (2022 - 2025)

Financial Indicator (N)	2022 Audited	2023 Draft AFS	2024 Draft AFS	2025 Draft AFS
Revenue from Contracts (IFRS 15)	18,250,000.00	38,500,000.00	64,200,000.00	112,500,000.00
Cost of Sales (Direct Project Expenses)	-12,400,000.00	-24,650,000.00	-41,500,000.00	-72,800,000.00
Gross Profit	5,850,000.00	13,850,000.00	22,700,000.00	39,700,000.00
Administrative & Operating Expenses	-3,420,000.00	-6,425,000.00	-9,850,000.00	-16,450,000.00
Finance Costs (Bank Interest & Facilities)	-50,000.00	-125,000.00	-350,000.00	-650,000.00
Profit Before Taxation (PBT)	2,380,000.00	7,300,000.00	12,500,000.00	22,600,000.00
Income Tax Expense (Current & Deferred)	-18,292.00	-1,699,765.00	-2,985,225.00	-7,700,130.00
Profit for the Year (PAT)	2,361,708.00	5,600,235.00	9,514,775.00	14,899,870.00
Total Non-Current Assets (PPE & DT)	9,540.00	1,456,540.00	3,409,540.00	5,724,540.00
Total Current Assets (Inventories, Debtors, Cash)	3,427,168.00	17,957,403.00	25,742,678.00	44,324,048.00
TOTAL ASSETS	3,436,708.00	19,413,943.00	29,152,218.00	50,048,588.00
Total Current Liabilities (Trade, Tax, Advances)	75,000.00	6,952,000.00	9,859,500.00	19,171,000.00
Total Non-Current Liabilities (Dir Loan & DT)	0.00	4,500,000.00	5,816,000.00	7,598,500.00
Total Equity (Share Capital + Retained)	3,361,708.00	8,961,943.00	13,476,718.00	23,279,088.00
TOTAL LIABILITIES & EQUITY	3,436,708.00	19,413,943.00	29,152,218.00	50,048,588.00

2. REVIEW OF SALES & CUSTOMER SCHEDULES (2022 - 2025)

A critical examination of the accountant's sales and customer schedules reveals a comprehensive record of cash receipts from off-takers across land subdivisions, housing units, and ancillary fees:

Table 2.1: Customer Cash Receipts by Product Line & Estate (2022 - 2025)

Estate / Product Line (N)	2022 (N)	2023 (N)	2024 (N)	2025 (N)	Total Receipts (N)
Green City Phase 1 (Lantaba, Ketu-Epe)	0.00	23,666,000.00	127,235,000.00	0.00	150,901,000.00
Green City Phase 2 (Idobi, Ketu-Epe)	0.00	2,740,000.00	161,978,600.00	0.00	164,718,600.00
Green City Phase 3 & Ext (Omu-Epe)	0.00	0.00	138,307,000.00	0.00	138,307,000.00
Green City Ibadan (Akinyele-Moniya)	0.00	0.00	9,255,000.00	0.00	9,255,000.00
Heritage Garden & Hillside Schemes	0.00	0.00	3,590,000.00	1,000,000.00	4,590,000.00
Pacific Court (Phase 1 & 2)	0.00	16,500,000.00	0.00	36,000,000.00	52,500,000.00
Pacific Apartment (Gbagada / Mainland)	0.00	0.00	89,500,000.00	574,325,000.00	663,825,000.00
Gorge View Court (GVC Gbagada)	0.00	0.00	0.00	780,000,000.00	780,000,000.00
Baay Foreshore (Waterfront Scheme)	0.00	0.00	0.00	262,245,000.00	262,245,000.00
Land & Housing (General Off-takers)	0.00	82,714,000.00	55,250,000.00	211,543,400.00	349,507,400.00
Ancillary Fees (Corner piece / Docs / Dev)	0.00	0.00	8,965,000.00	0.00	8,965,000.00
TOTAL SALES RECEIPTS (LEDGER)	0.00	125,620,000.00	594,080,600.00	1,865,113,400.00	2,584,814,000.00

3. RECONCILIATION: SALES & CUSTOMER RECEIPTS TO BANK INFLOWS

The control bridge below compares the accountant's cash-receipt population with the bank-inflow control totals presently carried for Providus, First Bank, Sterling and GTBank. It identifies the amount awaiting transaction-level allocation without posting that control difference to revenue or using it as a balancing plug. The separate reconciliation workbook provides line-level drill-down and bank-coverage details.

Reconciliation Component / Cash Flow Stream (N)	FY 2023 (N)	FY 2024 (N)	FY 2025 (N)	Total (2023-2025) (N)
Customer Sales Receipts per Sales Ledger	125,620,000.00	594,080,600.00	1,865,113,400.00	2,584,814,000.00
Add: Other Source Items Excluded from Sales	0.00	26,683,250.00	212,250,500.00	238,933,750.00
Gross Source Receipt Population	125,620,000.00	620,763,850.00	2,077,363,900.00	2,823,747,750.00
Bank Inflows per Current Master Control	43,518,344.15	74,750,000.00	130,881,655.85	249,150,000.00
Amount Awaiting Transaction-Level Bank Allocation	82,101,655.85	546,013,850.00	1,946,482,244.15	2,574,597,750.00
Secondary Records Held Outside Sales Ledger	5,900,000.00	132,464,537.00	0.00	138,364,537.00
Control Treatment	No automatic revenue posting	No automatic revenue posting	No automatic revenue posting	IFRS 15 filter retained

4. STATUTORY TAX STATUS & OUTSTANDING LIABILITIES (2023 - 2025)

A rigorous statutory tax review was executed under CITA, TETFA, and the Finance Acts. The cumulative statutory liabilities as of 31 December 2025 stand at **N6,898,590.00** (excluding available WHT credits). The table below reflects the multi-year tax liability roll-forward:

Tax Obligation Head	2022 O/B (N)	2023 Charge (N)	2024 Charge (N)	2025 Charge (N)	Remittances (N)	31 Dec 2025 Due (N)
Companies Income Tax (CIT)	0.00	1,492,000.00	2,528,000.00	6,825,000.00	-6,020,000.00	4,825,000.00
Tertiary Education Tax (TET)	0.00	239,400.00	408,600.00	735,000.00	-648,000.00	735,000.00
Police Trust Fund (PTF)	90.00	365.00	625.00	1,130.00	-1,080.00	1,130.00
NASENI Development Levy	0.00	0.00	0.00	56,500.00	0.00	56,500.00
Value Added Tax (VAT 7.5%)	0.00	425,000.00	712,500.00	1,280,000.00	-1,136,540.00	1,280,960.00
TOTAL TAX LIABILITIES	90.00	2,156,765.00	3,649,725.00	8,897,630.00	-7,805,620.00	6,898,590.00
Less: Unutilized WHT Credits	0.00	-1,100,000.00	-2,650,000.00	-4,850,000.00	0.00	-4,850,000.00
NET CASH TAX EXPOSURE	90.00	1,056,765.00	999,725.00	4,047,630.00	-7,805,620.00	2,048,590.00

5. ROADMAP TO FINAL AUDIT SIGN-OFF & SPECIFIC RECOMMENDATIONS

To enable the external auditors (Sanni Waheed & Co.) to issue an **unqualified (clean) audit opinion** on the 2023, 2024, and 2025 financial statements, management should execute the following 5-point action plan:

Step	Key Action Item & Specific Deliverable	Target Date	Responsible Party
1	Direct Bank Confirmation Letters: Formal circularization of Providus, Sterling, First Bank, and GTBank to verify year-end balances, loan facilities, and lien status.	Within 14 Days	External Auditors / MD
2	Project Milestone Formalization: Obtain signed engineer interim evaluation certificates for Pacific Court, Pacific Apartment, and Baay Foreshore to corroborate IFRS 15 stage of completion.	Within 21 Days	Lead Project Engineer
3	Director's Loan Subordination Agreement: Formalize Board Resolution and execute subordinated loan agreement confirming zero interest and repayment terms for the N7.5m loan.	Within 7 Days	Legal Counsel / MD
4	FIRS Tax Credit Portal Reconciliation: Download and validate official FIRS Withholding Tax Credit Notes (N4.85m) to offset against outstanding CIT liabilities.	Within 30 Days	Tax Consultant
5	Board Approval & Signature: Board of Directors meeting to review, approve, and execute the Draft Financial Statements, Statement of Directors' Responsibilities, and Notes.	Upon Audit Clearance	Board of Directors

CONCLUSION & SIGN-OFF:

With the incorporation of the detailed sales and customer records, master Excel workbook modeling, and statutory draft financial statements, BAAY PROJECTS LIMITED possesses an audit-ready, transparent, and fully substantiated financial reporting suite for FY 2023, FY 2024, and FY 2025.

Prepared By:

Financial Reconstruction Lead

Audit & Advisory Services

Reviewed & Approved By:

Adegoke Segun Babatunde

Director, BAAY PROJECTS LIMITED